

Bajaj Finserv Ltd

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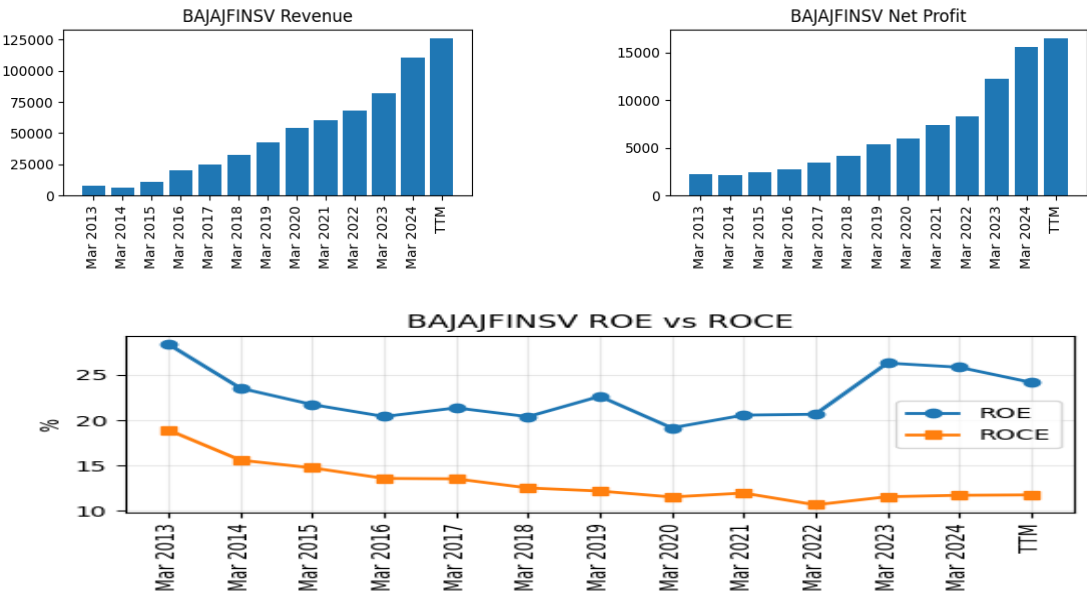
Key Financial Metrics

ROE 24.18%	ROCE 11.75%	Debt / Equity 4.66
Revenue CAGR 26.87%	FCF Conversion -440.36%	Quality Score 30.86

Company Profile

Company	Bajaj Finserv Ltd
Sector	Financials
Industry	Diversified Financials
Market Cap (■ Cr)	1,905,112.17
P/E Ratio	15.07
P/B Ratio	6.08
Dividend Yield	2.56%

Financial Performance



AI Investment Summary

Bajaj Finserv Ltd currently faces multiple financial challenges that increase investment risk. It currently has healthy profitability, average capital efficiency, rapid revenue growth, accrual risk cash-flow quality and elevated leverage. The overall financial quality score is 30.9/100. Key strengths include: Consistently high return on equity above 20% demonstrates exceptional capital efficiency.; Revenue growing at above 15% CAGR over 5 years reflects strong business momentum.; Operating profit margin above 25% indicates strong pricing power and cost discipline.. Key risks include: High leverage relative to equity can restrict future capital flexibility.; Two consecutive years of negative free cash flow point to weak cash generation.. Investment recommendation: Avoid. Overall, the company appears to be financially weak with elevated investment risk.

Pros & Cons

Pros	Cons
• Consistently high return on equity above 20% demonstrates exceptional capital efficiency. • Revenue growing at above 15% CAGR over 5 years reflects strong business momentum. • Operating profit margin above 25% indicates strong pricing power and cost discipline.	• High leverage relative to equity can restrict future capital flexibility. • Two consecutive years of negative free cash flow point to weak cash generation.

Investment Recommendation

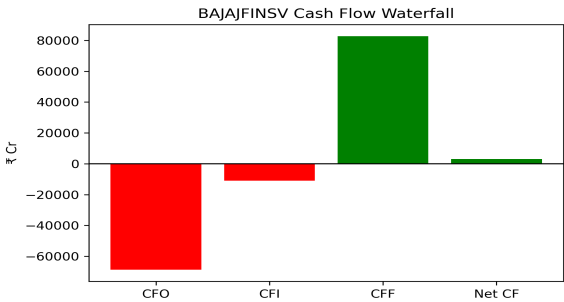
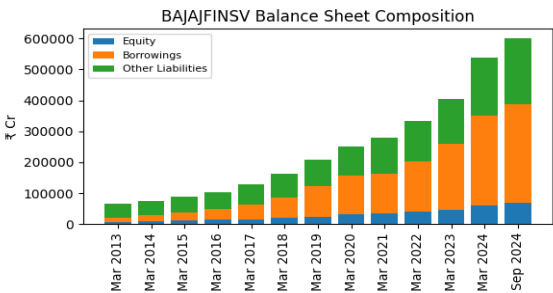
Recommendation	AVOID
Risk Level	VERY HIGH
Confidence	LOW

Recommendation Reason:

The recommendation is based on an adjusted financial score of 30.9/100, supported by 3 identified strengths, 2 identified risks, and cash-flow quality rated as Accrual Risk.

Adjusted Score: 30.9

Balance Sheet & Cash Flow



Financial Health

Profitability	Strong
Growth	Strong
Cash Flow	Weak
Leverage	Weak

Valuation	Cheap
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Capital Allocation

Growth Funded by Debt